

Stalking the Tenbagger

The best place to begin looking for the tenbagger is close to home—if not in the backyard then down at the shopping mall, and especially wherever you happen to work. With most of the tenbaggers already mentioned—Dunkin’ Donuts, The Limited, Subaru, Dreyfus, McDonald’s, Tambrands, and Pep Boys—the first sips of success were apparent at hundreds of locations across the country. The fireman in New England, the customers in central Ohio where Kentucky Fried Chicken first opened up, the mob down at Pic ’N’ Save, all had a chance to say, “This is great; I wonder about the stock,” long before Wall Street got its original clue.

The average person comes across a likely prospect two or three times a year—sometimes more. Executives at Pep Boys, clerks at Pep Boys, lawyers and accountants, suppliers of Pep Boys, the firm that did the advertising, sign painters, building contractors for the new stores, and even the people who washed the floors all must have observed Pep Boys’ success. Thousands of potential investors got this “tip,” and that doesn’t even count the hundreds of thousands of customers.

At the same time, the Pep Boys employee who buys insurance for the company could have noticed that insurance prices were going up—which is a good sign that the insurance industry is about to turn around—and so maybe he’d consider investing in the insurance suppliers. Or maybe the Pep Boys building contractors noticed that cement prices had firmed, which is good news for the companies that supply cement.

All along the retail and wholesale chains, people who make things, sell things, clean things, or analyze things encounter numerous stockpicking opportunities. In my own business—the mutual-fund industry—the salesmen, clerks, secretaries, analysts, accountants, telephone operators, and computer installers, all could scarcely have overlooked the great boom of the early 1980s that sent mutual-fund stocks soaring.

You don’t have to be a vice president at Exxon to sense the growing prosperity in that company, or a turnaround in oil prices. You can be a roustabout, a geologist, a driller, a supplier, a gas-station owner, a grease monkey, or even a client at the gas pumps.

You don’t have to work in Kodak’s main office to learn that the new